

HEADLINE JUDGMENT

Note: 25 Jun figures are intraday prints; 24 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score FALLS to 18/30 — deeper into the systemic-risk-watch band (15–21) — as oil's war premium and the forward-inflation impulse complete their round-trip to pre-war.** Brent at \$73.21 (risk premium ~\$0.7/bbl) fires **oil 2→1**, and 5Y5Y at 2.141% — at/below the 2.142% pre-war anchor, with 10Y breakevens 6.9 bp below pre-war — fires **US-inflation 3→2**. **The driver:** the accelerating strait reopening plus a powerful 24 Jun disinflationary close (Brent crashed \$2.67 to \$73.87; the long end rallied ~10 bp, 30Y to 4.84%). Strait traffic surged — Kpler counted 109 vessels over the weekend (19–21 Jun), the highest since the conflict began; 20-plus tankers carrying ~35 mn bbl have exited since the reopening; the southern (Omani) and northern (Iranian) routes are both flowing; and OFAC's General License X authorizes Iranian crude sales through 21 Aug. **The acute market shock has essentially unwound** — oil and forward inflation are back to pre-war. What remains elevated is structural or lagging: maritime denial (central channel still mined ~80 mines; PortWatch still ~5%; BIMCO calls transit "very risky" — holds 4, →3 imminent); the hawkish-Fed-pinned Treasury (dollar >101.5, MOVE 69, 30Y 4.85%); political (gasoline \$4.54, still ~\$1 above pre-war); and escalation (implementing but bumpy — Iran's weekend closure threat, Lebanon, and an IAEA-inspection dispute — holds 3). The bias stays down toward the stress band (8–14), but is now gated by slow, structural items (mine clearance 40–50 days, the hawkish Fed, the gasoline lag) rather than acute stress. Sequencing 20 → 20 → 18.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

25 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 24 Jun and earlier are final closes (restated continuation series). d/d deltas are 25 Jun intraday vs 24 Jun close; w/w deltas are vs 18 Jun close.

Benchmark	Intraday 25 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$73.21 /bbl	−\$0.66 (−\$6.30 w/w)	from \$72.48 (+1.0%) — essentially at pre-war; risk premium ~\$0.7/bbl (oil 2→1)	CO1 Comdty
Brent · 24 Jun close (carried)	\$73.87 /bbl (vs \$76.54 intraday I reported)	close ran \$2.67 below my intraday — a major disinflationary session		CO1 Comdty (Close)
WTI front-month	\$69.33 /bbl	−\$0.60 (−\$6.52 w/w)	from \$67.02 (+3.4%) — back below \$70	CL1 Comdty
Brent–WTI spread	\$3.88 /bbl	−\$0.06 d/d	steady	derived
Henry Hub natural gas	\$3.25 /MMBtu	+\$0.03 (+\$0.02 w/w)	from \$3.06 (+6.2%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€40.97 /MWh	+€0.09 (+€0.45 w/w)	from €31.23 (+31.2%) — stable in the low €40s	TZTA Comdty
Japan/Asia LNG (24 Jun print)	¥2,528	−¥30 vs 23 Jun	from ¥1,669 (+51.5%) — stabilizing	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now badly stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

25 Jun 2026 yields are intraday. d/d deltas are 25 Jun intraday vs 24 Jun close; w/w deltas are vs 18 Jun close. The 24 Jun close saw a ~10 bp long-end rally alongside the oil crash.

Tenor	Yield (%) — intraday 25 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.15	+0.4	−2.7	+78 (from 3.37%) — hawkish-FOMC level holding	USGG2YR Index
5-year UST	4.19	+1.1	−4.6	+69 (from 3.50%)	USGG5YR Index
10-year UST	4.40	+1.2	−4.9	+47 (from 3.94%) — 25 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.85	+1.4	−4.4	+24 (from 4.61%) — rallied ~10 bp on 24 Jun; below 5.00%, 35 bp above 4.50%	USGG30YR Index
2s10s spread	+25 bp	+1.0	−1.8	−30 (flattest of the series — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.19	+0.2	−2.6	−7 (from 2.26%) — below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.14	−0.3	−4.5	−0 (from 2.14%) — at/below the pre-war anchor (US-inflation 3→2)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.51	25 Jun intraday	+3.91 (from 97.61)	Holding >101.5 (+0.66 w/w) on the hawkish FOMC — higher-for-longer rate support. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	69.06	24 Jun (lagged)	-4.32 (from 73.38)	Steady in the high 60s — above the 65 leg, so the Treasury →3 trigger is not yet met despite the long-end rally. Far below the 130 Stage-4 level.
VIX (equity vol)	18.63	24 Jun (lagged)	-1.23 (from 19.86)	Below pre-war — equities steady-to-firm as oil falls and the deal implements.
US gasoline retail avg	\$4.54 /gal	23 Jun (latest print)	+\$1.02 (from \$3.52, +29%)	Below the \$4.75 threshold (political-stress at 4); still ~\$1 above the \$3.52 pre-war level — the lagging pump price.

Strait operational state

Indicator	Current reading	Source
Traffic surge — highest since the conflict	Kpler: 109 vessels transited 19–21 Jun, the highest since the war began; MarineTraffic: crossings rose from 32 (12–14 Jun) to 93 (19–21 Jun). 20-plus tankers carrying ~35 mn bbl have exited since the reopening; Trump touted a “record” 19 mn bbl on Monday.	Kpler / MarineTraffic / Fox
...but still well below pre-war	Pre-war ran ~93–130 ships/day; IMF PortWatch still showed ~5% of normal on 21 Jun (AIS-only; dark tankers understate it). Recovery to ~50% of pre-war is weeks away; full recovery toward late 2026–2027.	PortWatch / Techtimes / Commons Library
Two routes; central channel mined	Southern (Omani, US-backed, mine-free, preferred) and northern (Iranian-controlled, PGSA) routes are flowing; the central channel is still mined (~80 mines), clearance 40–50 days (Pentagon: up to six months). BIMCO: transit “very risky.”	gCaptain / JMIC / BIMCO
Sanctions — OFAC General License X	Treasury authorized production, sale and shipment of Iranian crude through 21 Aug (vessel mgmt, insurance, USD payments) — easing compliance and pulling tankers back to sea.	gCaptain / Techtimes
Frictions — tolls, IAEA, Lebanon	Trump posted (24 Jun) that Iran told the US there are “NO TOLLS... on ships,” easing the toll dispute — but Trump and the IAEA say Iran agreed to nuclear inspections while Iran denies it, and the Lebanon ceasefire is fragile (Trump’s “hit Iran very hard” threat).	TWZ / OilPrice / CNN
Macro overlay	The 17 Jun hawkish FOMC (dots 3.8%, 9/18 projecting a hike) keeps the dollar >101.5 and the front end firm even as oil and breakevens sit at/below pre-war.	Fed / Bloomberg

2 · US economic shock — analysis with bond yields

The US economic shock falls to **18/30**, deeper into the systemic-risk-watch band, as the two market-priced war channels — oil and forward inflation — complete their round-trip to pre-war (oil 2→1, US-inflation 3→2). The acute market shock has essentially unwound; the residual 18 is now structural or lagging: maritime denial (mines), the Fed-pinned Treasury channel, the gasoline lag, and a still-implementing escalation channel. No Stage-4 signal; the dollar is firm on policy, not breaking.

2.1 · Bond-yield transmission

25 Jun yields are intraday; d/d vs 24 Jun close, w/w vs 18 Jun. **Oil 2→1 and US-inflation 3→2; score 20→18.** The 24 Jun close paired the oil crash with a ~10 bp long-end rally (30Y to 4.84%, 10Y to 4.39%) and took 5Y5Y to the pre-war anchor; 25 Jun holds those levels (30Y 4.85%, 5Y5Y 2.14%). The hawkish Fed still pins the front end (2Y 4.15%, dollar >101.5).

(i) Inflation anchor — home; downgraded to 2. 5Y5Y forward at 2.1412% (2.1438% close 24 Jun) is at/below the 2.142% pre-war anchor, and 10Y breakeven at 2.19% is 7 bp below pre-war. The war’s forward-inflation impulse has fully drained, so **US-inflation downgrades 3→2**. A push clearly below the anchor would take it to 1; a renewed rise >2.20% would restore 3.

(ii) Long-end — rallied to 4.85%; Treasury Fed-pinned at 4. 30Y fell ~10 bp on 24 Jun to 4.84% (4.85% intraday), but MOVE at 69.06 is above the 65 leg and the front end is firm (2Y 4.15%, dollar >101.5) on the hawkish dots — the Treasury →3 downgrade (30Y <4.50% with MOVE <65) is not yet met, though the long-end leg is moving toward it. 10Y at 4.40% is 25 bp below the 4.65% trigger.

(iii) Oil — home; downgraded to 1. Close path: \$76.80 (23 Jun) → \$73.87 (24) → \$73.21 intraday (25 Jun); WTI \$69.33. Risk premium ~\$0.7/bbl (+1.0% vs pre-war) — the war premium is essentially gone, so **oil downgrades 2→1**. A close at/below the \$72.48 pre-war level would take it to 0; a deal-collapse spike >\$95 would restore it to 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the signed deal and the oil round-trip have moved the complex far from it; the live question is the pace of normalization *down*.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 4.90%, coupon auctions should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.85% is 35 bp below the 5.20% trigger; 10Y 4.40% is 25 bp below 4.65% — both fell further on 24 Jun.

Threshold C · MOVE above 130. Contained. MOVE 69.06 and VIX 18.63 are both below pre-war. Far below Stage-4 levels. HY OAS not in the BBG sheet — equities firm as oil falls argue for tightening.

2.3 · Cross-asset

The regime shift is now essentially complete on the market side: Brent, WTI, 5Y5Y, 10Y breakevens, TTF and Henry Hub are all at or below pre-war, and the long end has rallied back toward its range. The lone macro hold-out is the dollar (>101.5) and front end, kept firm by the

hawkish Fed against a 4.2% CPI. The score's residual 18 is therefore mostly geopolitical-structural (maritime 4, escalation 3 — mines and a contested implementation) plus the Fed-pinned Treasury 4 and the lagging gasoline channel; the oil and inflation impulses have gone home.

3 · Shock score

Total: **18/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4 — →3 imminent. Traffic surged (Kpler 109 vessels 19–21 Jun, highest of the war; 20-plus tankers / ~35 mn bbl exited; two routes flowing; OFAC license) — but PortWatch still ~5%, the central channel is mined (~80 mines), BIMCO calls transit “very risky,” and the rebound is only ~5–7 sessions old.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	1/5	DOWNGRADED 2→1. Brent \$73.87 close (24 Jun) → \$73.21 intraday; risk premium ~\$0.7/bbl (+1.0% vs pre-war). The war premium is essentially gone as the strait reopening accelerates.	↑ Brent >\$95 sustained → back to 3. ↓ Brent close at/below the \$72.48 pre-war level → to 0.
US inflation impulse	2/5	DOWNGRADED 3→2. 5Y5Y 2.14% is at/below the 2.142% pre-war anchor (2.1438% close 24 Jun); 10Y BE 2.19% (7 bp below pre-war). The forward impulse has fully drained.	↑ 5Y5Y back >2.20% sustained → to 3. ↓ 5Y5Y clearly below the pre-war anchor sustained → to 1.
Treasury stress	4/5	Held at 4 — Fed-pinned, →3 watch. 30Y rallied ~10 bp to 4.85% (toward the 4.50% leg) but MOVE 69.06 is >65 and the front end is firm (2Y 4.15%, dollar >101.5) on the hawkish dots. The →3 needs both legs.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.54 (23 Jun), below the \$4.75 threshold but still ~\$1 above the \$3.52 pre-war level — the lagging pump price, falling with crude.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	3/5	Held at 3 — implementing but contested. A road map, OFAC sanctions license and two-route flow advance the deal; the toll dispute eased (Trump: “NO TOLLS”). But Iran threatened a weekend re-closure, an IAEA-inspection dispute is open, and Lebanon is fragile (Trump’s “hit very hard” threat). Not to 2; not back to 4.	↑ deal collapse / re-closure / fresh strikes → back to 4–5. ↓ 60-day talks progress + sustained normalization → to 2.
TOTAL	18/30	Systemic-risk-watch band — 20→18. Oil and forward inflation completed their round-trip to pre-war. The residual is now structural/lagging — mines (maritime), the hawkish Fed (Treasury), the gasoline lag, and a contested implementation (escalation). The bias stays down toward the stress band (8–14), gated by mine clearance and the Fed.	

4 · What's changed since the last edition (24 Jun AM → 25 Jun AM)

Score falls to 18/30 — two downgrades. Oil 2→1 and US-inflation 3→2 as both channels complete their round-trip to pre-war; the acute market shock has essentially unwound. Source: Bloomberg / news wires.

Oil home (2→1). Brent \$73.21 (risk premium ~\$0.7/bbl); the 24 Jun close crashed \$2.67 to \$73.87. Driven by the accelerating reopening — Kpler’s 109 vessels over the weekend (highest of the war), 20-plus tankers / ~35 mn bbl exited, OFAC’s crude-sales license. Source: Bloomberg / Kpler / Fox.

Forward inflation home (3→2). 5Y5Y 2.14% is at/below the pre-war anchor; 10Y breakevens 7 bp below pre-war. The 24 Jun long-end rallied ~10 bp (30Y to 4.84%). Source: Bloomberg.

Traffic surge, but mines remain. Two routes flow (southern Omani, northern Iranian); the central channel is still mined (~80 mines; 40–50-day clearance), PortWatch still ~5%, BIMCO “very risky.” Maritime holds at 4, →3 imminent. Source: Kpler / gCaptain / BIMCO.

Frictions — escalation holds at 3. The toll dispute eased (Trump: “NO TOLLS”), but an IAEA-inspection dispute is open (Trump says Iran agreed; Iran denies), Iran threatened a weekend re-closure, and Lebanon is fragile. Source: TWZ / OilPrice / CNN.

Hawkish Fed still pins Treasury. 30Y rallied to 4.85% but MOVE 69.06 (>65) and the dollar >101.5 keep the →3 out of reach; Treasury holds at 4 (long-end leg on watch). Source: Bloomberg / Fed.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait normalizes, talks progress	62%	The road map holds; traffic keeps climbing (Kpler 109/weekend), mines clear over 40–50 days, sanctions relief phases in; the 60-day nuclear talks progress. Base case.	Brent \$64–75; 30Y 4.5–4.9%; MOVE <70; score normalizes into / toward the stress band (8–14).
Slow / partial implementation	30%	Ceasefire holds but normalization is slow — central-route mine clearance (40–50 days, up to 6 months), PortWatch ~5%, war-risk insurance 10–40x; full recovery late 2026–2027.	Brent \$70–80; yields stable; residual risk premium ~\$1–4/bbl; maritime stays at 4 longer.
Implementation breakdown (60-day window)	5%	Talks stall on the nuclear/HEU, IAEA-inspection or sanctions terms; Iran re-closes the strait as leverage — stalling the deal without full-scale war.	Brent \$82–94; yields drift up; risk premium rebuilds toward \$10–15/bbl; escalation back to 4.
Ceasefire breakdown / re-escalation	2%	Lebanon collapses the truce — Trump's "hit very hard" threat is realized or Iran responds — and strikes resume despite the signed MOU.	Brent \$104–126; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, much reduced by the signed, in-effect deal and the live traffic recovery.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 24 Jun edition: deal-holds normalization +1 (61→62), implementation-breakdown –1 (6→5); slow/partial (30%), ceasefire-breakdown (2%) and regional relapse (1%) held. Driver: the traffic surge (Kpler 109 vessels), the OFAC sanctions license, the eased toll dispute and oil's return to pre-war strengthen the constructive path; the still-mined central channel, the IAEA-inspection dispute and the fragile Lebanon front keep the breakdown tails populated. The hawkish Fed pins the Treasury channel regardless of the geopolitical path.

6 · Watchlist · next 24–72 hours

Strait traffic / mine clearance — maritime to 3. Kpler's 109-vessel weekend is the marker; a sustained >25% of normal for ten sessions with verified mine-free routes (central-channel clearance is 40–50 days) takes maritime-denial 4→3 — the next leg down.

Oil at pre-war — oil to 0. Brent \$73.21 is ~\$0.7 above the \$72.48 anchor; a close at/below it takes the oil channel 1→0. A deal-collapse spike >\$95 would restore it to 3.

Treasury long-end — →3 watch. 30Y rallied to 4.85% (toward the 4.50% leg); a 30Y close <4.50% with MOVE <65 would take Treasury 4→3 — the first crack in the Fed-pinned channel. Incoming CPI (4.2%) is the governor.

IAEA-inspection dispute. Trump and the IAEA say Iran agreed to inspections; Iran denies it. A key implementation flashpoint for the 60-day nuclear track — and the main escalation risk.

Lebanon / Trump–Iran threats. Trump's "hit Iran very hard" threat against continued fighting is the most likely route to a ceasefire breakdown and a re-escalation of the score.

Gasoline toward pre-war — political to 3. At \$4.54 it is ~\$1 above the \$3.52 pre-war level; with crude now at pre-war, the pump price should keep falling — a grind toward \$3.52 takes political-stress 4→3.

Post-60-day Hormuz governance. Trump says "NO TOLLS" now, but the deal leaves Iran–Oman–Gulf talks on a permanent regime after 21 Aug — tolls could re-emerge and re-introduce a structural premium.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. Kpler and MarineTraffic (traffic counts: 109 vessels 19–21 Jun; 20-plus tankers / ~35 mn bbl), IMF PortWatch (~5% on 21 Jun), gCaptain / JMIC (two-route flow, mine status), BIMCO ("very risky"), US Treasury/OFAC (General License X), Fox, CNBC, CNN, Reuters, Bloomberg, Al Jazeera, Techtimes, UK Commons Library; Federal Reserve / CME FedWatch. The traffic surge, the OFAC license, the eased toll dispute and the IAEA-inspection dispute via Kpler / Fox / TWZ / OilPrice / CNN.

Tier 3 — state media (labelled). Iranian statements (weekend re-closure declaration, denial of an IAEA-inspection agreement, PGSA northern-route management) are labelled and corroborated against Reuters / CNN / gCaptain; Tasnim, Mehr, IRIB, Fars, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (24 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 18 Jun this edition, the 19 Jun Juneteenth holiday in the window); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close (this edition: oil 2→1 at the pre-war Brent level; US-inflation 3→2 at the 5Y5Y anchor). Escalation-risk is event-based, held at 3 (implementing but contested).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 24 Jun close ran \$2.67 below my oil read and rallied the long end ~10 bp — a major disinflationary session).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with traffic/mine clearance (maritime →3), oil at pre-war (oil →0), the Treasury long-end (→3 watch), and the IAEA dispute.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger — this edition oil downgraded 2→1 (Brent at the pre-war level) and US-inflation 3→2 (5Y5Y at/below the pre-war anchor). Maritime was held at 4 despite a strong traffic rebound, because the >25%-for-10-sessions (verified mine-free) bar is not yet met. Escalation-risk is event-based, held at 3. A hawkish FOMC continues to pin the Treasury channel at 4, an exogenous crosscurrent flagged explicitly.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+1.0%), WTI, 5Y5Y, 10Y breakevens, MOVE and VIX are now at or below pre-war; the hawkish Fed holds the front end and dollar above it, and gasoline lags ~\$1 high.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading set the 24 Jun close, which ran \$2.67 below my AM oil read and rallied the long end ~10 bp — a reminder that US sessions set the close. Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.